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Operator

Good morning. This is the conference operator. Welcome, and thank you for joining Credit Suisse Group's Third Quarter 2021 Results Conference Call for Analysts and Investors. Operator Instructions] And the conference is recorded. [Operator Instructions].

I will now turn the conference over to Kinner Lakhani, Head of Investor Relations and Group Strategy and Development. Please go ahead, Kinner.

Kinner Lakhani -- Head of Group Strategy and Development

Thank you, Sharon. Good morning, everyone, and thank you for joining us. We have a busy schedule ahead of us with our third quarter earnings presentation, followed by our Investor Day 2021 presentation, which begins at 8:45 GMT. So please note that this call will only focus on earnings, and I kindly ask you to respect that in the Q&A that follows. Before we begin, let me remind you of the important cautionary statements on slides two and three, including in relation to forward-looking statements, non-GAAP financial measures and Basel III disclosures. For more detail on our results, we refer you to the Credit Suisse third quarter 2021 financial report, which we published this morning.

I will now hand over to our Group CEO, Thomas Gottstein; and our Group CFO, David Mathers, who will then run through our numbers. Thank you.

Thomas Gottstein -- Chief Executive Officer

Thank you, Kinner, and good morning from London. I am pleased to present our third quarter results alongside David. This is the first of several presentations you will hear from the two of us, other Executive Board members and our Chairman today as we will present later the conclusions of our comprehensive strategy review. Our strong third quarter results reflect four important factors that put us in excellent position to further our growth strategy: robust underlying performance, good net new asset inflows, strong capital and progress in addressing legacy issues. They reflect progress in achieving our clear objectives to become an even stronger, more client-centric bank that puts risk management at our core and to deliver sustainable growth for investors, clients and colleagues. This is an important day for us at Credit Suisse. I would like to focus our attention for this presentation and our Q&A on third quarter results, as Kinner just said. We have a packed agenda, and we look forward to engaging with you later on our strategy. With that, let me turn to the slides. On this summary slide, page four, I would like to highlight the following. We are reporting a pre-tax income of CHF one billion for the third quarter, up 26% year-on-year. This included gains related to Archegos, mainly pertaining to the future recovery of receivables as well as further gain on our residual stake in all funds.

We have taken a further CHF0.1 billion impairment on our York interest and major litigation charges of around CHF0.6 billion, including CHF0.2 billion in respect of our recent settlements on the Mozambique matter as well as provisions in respect of legacy mortgage-related matters and the supply chain finance funds matter. On an adjusted basis, excluding significant items in Archegos, pre-tax income was CHF1.4 billion, up 25% year-on-year. Please note that we will describe the adjusted divisional figures on this basis throughout the presentation. We were very pleased to see, after the outflows of the second quarter, positive net inflows across each of our three Wealth Management businesses totaling CHF6.2 billion, representing a 3% annualized growth rate. And we achieved this despite further outflows related to the supply chain finance fund matter as well as deleveraging and market-related client outflows in APAC as other

Universal Bank, where a 5% year-on-year increase in revenues underpinned a 24% increase in pre-tax income. Pretax income was down 25% year-on-year in IWM, impacted by lower net interest income, albeit stabilizing on a sequential basis and lower transactional revenues.

This was offset by higher recurring fees with positive net new assets. Our APAC division achieved

We can now draw a line under this matter. With regards to the independent investigation into the supply chain finance fund matter, this continues to be a focus for the bank and work is ongoing, as we can see on the next slide. Here, we provide some more detail on the current status of the supply chain finance fund matter. Eight months after we took the decision to gate the funds, CS AM's priority remains recovery of cash for investors. We made a fifth cash distribution at the end of September, taking the total returns to approximately USD6.3 billion. Including current cash and cash equivalents, total recovery stands at approximately USD seven billion or 70% of the fund's NAV as at the end of February. We have recovered about 86% of the exposure in the so-called non-focus areas with approximately USD600 million outstanding, and there is approximately USD2.2 billion outstanding in the focus areas, where we continue to pursue all available recovery options open to us, including insurance. And as at the end of October, we have filed several claims. CS AM was last month able to sign a debt restructuring arrangement with GFG Alliance Australia as part of which we have received an initial payment of approximately USD96 million with approximately USD178 million, including interest to be paid to us in installments by the middle of 2023 at the latest.

While that process continues, we have also been actively engaging with clients to explore ways in which we can support them, and we have put in place a fee waiver program for eligible clients as a gesture of goodwill and a sign of the importance we put on these relationships. On this Slide eight six\six, you see our underlying performance has been very strong, both in a year-on-year comparison, but also in a multiyear comparison. As I previously stated, in the third quarter of our current year, our adjusted pre-tax income, excluding significant items in Archegos, was CHF1.4 billion, by far the best third quarter in the last five years, as you see in the top chart. Even if market conditions were exceptionally strong at the start of the year, our nine month revenue performance over the past two years highlights the core strength of our business. We have a great foundation to invest in and grow. With that short presentation.

Let me now turn it over to David to go through our third quarter results in more detail. We look forward to your questions and to our engagement throughout the day. Thank you.

David Mathers -- Chief Financial Officer

Thank you very much, Thomas. I'd just like to take a few minutes first to go through the key financials before outlining the performance for each of the divisions in more detail. And after that, we will move to take questions, although, as Thomas has already said, at this point, only in respect to the financial results for the third quarter, and we reserve questions relating to the strategy review for later today. Now let me just start with a look at the reported results. Our revenues increased by 5% year-on-year to CHF5.4 billion, while our operating expenses were 6% higher at CHF4.6 billion. We released a net total of CHF144 million in provisions for credit losses, CHF188 million of which was in respect of Archegos. You'll note that we did see an increase, though, in our CECL-related revision, reflecting a degree of uncertainty around the pace and the nature of the economic recovery. Overall, we delivered a reported pre-tax income of CHF one billion, 26% higher than the same period last year. I think you know our tax rate continues to be adversely inflated due to the net Archegos loss in the first quarter and stands at 57% for the quarter, resulting in a net income attributable to shareholders of CHF434 million, 21% lower year-on-year. This equates to a return on tangible equity for the group of 4.5%. Next slide, please. As you have seen from the media release, we have recorded a number of adjusted and significant items this quarter, both credits and debits, and I wanted to be clear about the effect that they've had on the reported numbers compared to the same period last year. Now first, we have taken a total of CHF564 million with respect to major litigation provisions.

This remains a key priority for us, and we continue to expect that we should realize further gains over the course of the coming quarters, though it is, of course, difficult at this point to estimate the timing or the size of such recoveries. Now the second positive significant item is the gain from our 8.6% interest in Allfunds, which was successfully listed back in April. The rise in the stock price in the third quarter has resulted in a gain in pre-tax income of CHF129 million. Now including other adjustments related to real estate and business sales, our adjusted pre-tax income, therefore, excluding significant items, totaled CHF1.36 billion, CHF354 million higher than the reported figure. By comparison, in the third quarter of last year, our adjusting for significant items contributed CHF284 million to reported pre-tax income, taking the adjusted total to CHF1.09 billion. Let me turn now to capital ratios on the next slide. Our CET1 ratio for the third quarter stood at 14.4%, and that's an increase from 13.7% at the end of the previous quarter. Now if you move from left to right on the chart, you can see that 23 basis points of that 70 basis point increase is the result of organic pre-tax income. That's excluding the moves in Archegos and in the equity stake in Allfunds, which then contributed eight and five basis points, respectively. Now while our tax rate continues to be elevated when applied to our pre-tax income, this only results in a reduction of the CET1 ratio of four basis points as we've continued to earn out deferred tax assets resulting from the first quarter charge.

Then just completing this, RWA reductions contributed a further 28 basis points of uplift, and these occurred across the bank. Now on the bottom chart, as you can see here, the same factors broadly resulted in an improvement in our CET1 leverage ratio totaling 10 basis points, which increased the ratio from 4.2% at the end of the second quarter to 4.3% at the end of the third quarter. Our leverage exposure actually increased by CHF six billion in the third quarter compared to the second quarter, including an increase in HQLA balances of CHF eight billion, mainly driven by increased funding and higher customer deposits in Wealth Management. But this was more than offset by the leverage reductions that we've instigated over the last six months, together, clearly, with the increase to capital from our organic capital generation. Now as I'm sure you've seen from the strategy documents that we published this morning, we intend to operate at a CET1 ratio in excess of 14%, that's pre the Basel III reforms; and equity leverage ratio of around 4.5%, but we'll cover this in more detail during our strategy review later this morning. Let me turn to expenses, please. Cost discipline remains a key area of focus for us. In the first nine months of the year, costs were 3% lower at CHF12 billion on an adjusted basis, that's excluding significant items and Archegos.

This primarily reflects lower compensation expenses. And during the period, continued to invest in a number of strategic initiatives, including hiring relationship managers and strengthening our risk and our control processes. For the year as a whole, we would currently estimate adjusted operating expenses to be between CHF6.2 billion and CHF16.5 billion. Next slide, please. Now what we show here is that while our overall allowance for credit losses has fallen from CHF6.1 billion at the end of the second quarter to CHF5.9 billion at the end of the third, we have seen a small increase in our CECL-related provision totaling CHF20 million. This reflects a conservative view on potentially adverse economic developments, including uncertainty around the timing and the pace of the withdrawal of the various measures introduced by central banks in response to the COVID-19 pandemic as well as the related shocks of which are a consequence of the recovery. Now let me turn now to the divisional overviews, where, unless I state otherwise, I'll refer to the adjusted numbers, that is excluding significant items and excluding Archegos. Before doing so, I'd like everyone to note please that the divisional return on regulatory capital calculation has been updated to align more closely with the targets for group capital and leverage ratios. We are now applying a definition for allocated capital based on 13.5% of RWA and 4.25% of leverage exposure.

We've applied this consistently across all of the third quarter documents that you will see this morning, and this will also be the basis of the allocated metrics that we will see in the strategy review presentations later on. Now let me start just as usual with the Swiss Universal Bank. The Swiss Universal Bank has continued its strong performance so far this year, delivering a record third quarter, driven by higher revenues, which increased by 5% year on year to CHF1.2 billion.

11% year-on-year increase in recurring commissions and fees, supported by record assets under management as well as higher revenues from our investment in the Swisscard partnership. Our provision for credit losses remains low with a net provision of CHF four million for the quarter, while operating expenses were slightly lower year-on-year at CHF764 million. Our adjusted pre-tax income for the division, excluding significant items, was 24% higher year-on-year at CHF586 million, resulting in a return on regulatory capital of 15% compared to 12% in the third quarter of last year. Now in terms of net new assets, although we did see approximately CHF400 million of net outflows in our Corporate & Institutional Clients business, this was more than offset by CHF1.9 billion of net inflows in our Private Clients business reversing the outflows that we saw in the second quarter.

Let me turn now to International Wealth Management, please. Net revenues were 3% lower year-on-year at CHF812 million. Whilst recurring commissions and fees grew by 13%, in line with the increase in client business volumes, our net interest income was affected by the impact of lower interest rates on deposits, albeit partly offset by the impact from higher loan volumes, which increased by 4% compared to the same quarter of last year. However, the less volatile market conditions in 2021 compared to last year meant that we also saw reduced client activity and, therefore, reduced transaction-based revenues, including those from GTS. Now operating expenses were 5% higher year-on-year at CHF624 million with lower deferred and discretionary compensation expenses more than offset by our investment in IT infrastructure and digitalization along with increased costs related to our sustainability initiatives. Provision for credit losses was CHF12 million compared to CHF eight million in the same quarter of last year. Adjusted pre-tax income for the division, excluding significant items, was CHF176 million, 25% lower year-on-year. However, IWM did see a reversal of the net outflows of the second quarter with positive net new assets totaling CHF1.4 billion, notwithstanding CHF1.5 billion relating to the supply chain finance funds matter this quarter. Let me now turn to the Asia Pacific division.

Asia Pacific revenues were broadly stable year-on-year at USD795 million. Revenues from recurring

This is the primary reason for the 5% year-on-year increase in operating expenses, which stood at USD582 million for the quarter. Overall, our adjusted pre-tax income, excluding significant items, was 5% higher year-on-year at USD206 million. As with SUB and with IWM, the asset outflows that we saw in the second quarter were reversed with net new assets totaling USD3.2 billion in the quarter, notwithstanding the deleveraging that I mentioned before. Let me turn now to the Investment Bank, please. Our Investment Bank delivered another robust performance despite continued constraints on capital usage with RWA 13% lower year-on-year at USD78 billion, the strength of our client franchise and favorable conditions for our capital markets and advisory businesses enabled the investment bank to achieve revenues that were 9% higher than in the strong third quarter that we reported last year at USD2.44 billion. And the main driver for this was increased client activity across our capital markets, M&A and equity derivative businesses. The pipeline of new transaction in both ECM and advisory remains strong, which should enable us to sustain this momentum into the coming quarters.

As we've seen across the industry, fixed income revenues were lower. And while we've had continued

Overall, as you can see from this slide, we had a mixed performance in our Asset Management business in the quarter. First, as I've remarked already, we decided to impair our investment in York Capital by a further CHF113 million this quarter. Second, primarily due to a delay in new fund launches previously scheduled for the third quarter, we saw net outflows of CHF1.7 billion, primarily in respect to our index business. However, against these negatives, if we look at the adjusted performance, excluding significant items, our revenues were higher across all three business lines and a well-managed approach to expenses, and that's notwithstanding additional costs in respect to the supply chain finance fund matter, means that on this basis, our pre-tax income improved to CHF115 million. And with that, I'd like to conclude, and Thomas and I will now take your questions, although just to remind you, at this moment, this will just be in respect of our third quarter earnings.

presentations. But thank you.

Operator

[Operator Instructions] Your first question comes from the line of Daniele Brupbacher from UBS. Please go ahead, your line is open.

Daniele Brupbacher -- UBS -- Analyst

Yeah. Good morning and thank you. Can I ask two things? One, on just your visibility and expectation with regards to regulatory changes on the RWA side, capital requirement side on the back of recent matters and how that could additionally now impact multipliers, add-ons and what have you. I'm still struggling to get my arms around all of the moving parts there, whether you could give us some visibility. And then on capital, I mean, capital ratio, you said it, record-high level at the group level 14.4%. Can you tell us how the parent bank looks like? I think it was at 13.3 on a phase-in basis at Q2 or 10.6 on the fully loaded, which feels a bit tied to me. And I was just wondering how you think about that ratio, how relevant it is and how you could basically improve that, what the optionalities around that, that would be super helpful.

David Mathers -- Chief Financial Officer

Thank you, Daniele. Thank you for your questions. So let me just kick off with -- on the point a

And I just recognize that although this is in respect to the FINMA decree, which goes back to 20

So you might ask a question. So you're at 10.7% now, how are you going to get to 12%? That requires retained capital between now and the end of 2027, beginning of '28 of about CHF six billion. Just to put that in context, since '17, we have repatriated, with appropriate regulatory approval, CHF12 billion of capital, largely from the U.K. to Switzerland. In addition to that, we have received dividends, obviously, primarily from Credit Suisse Schweiz, but just recently from the U.S., totaling further CHF12 billion. So obviously, we obviously substantially improved the parent capital position since 2017 when the decree was enacted. Looking forward, a couple of things just to be aware of. I think you're aware of this and it's been discussed before, but we've always, in the past, operated from two entities here in the U.K., Credit Suisse International and Credit Suisse Securities Limited, CSSL. CSSL is actually now decommissioned as a material legal entity, which means that there's about CHF eight billion of capital in there, a large proportion of which, again, subject to regulatory approval, we would seek to return to the parent in the near future. And then I think with regard to the United States, we actually passed the CCAR qualitatively, having passed it quantitatively as well, and that means we would be expecting to receive a dividend in excess of USD two billion from the U.S. subsidiary to the parent in the near future as well. So I think you can see there's a number of measures in train to actually close that gap and essentially rebalance capital between the subsidiaries and the parent. So I hope that's helpful to that, and happy to take anything else on that point.

Daniele Brupbacher -- UBS -- Analyst

No super helpful, thanks. That that's very transparent. Appreciate it. Thank you,

David Mathers -- Chief Financial Officer

Thank you.

Your next question comes from the line of Magdalena Stoklosa from Morgan Stanley. Please go ahead, your line is open.

Magdalena Stoklosa -- Morgan Stanley -- Analyst

Thanks very much. So I will concentrate on the 3Q and two questions. One, still on net interest

Thomas Gottstein -- Chief Executive Officer

Okay. I suggest, David, you take the first question, and I will take the second one.

David Mathers -- Chief Financial Officer

Okay. Let me just kick off then. I think just in terms of net interest income, I mean, I think, Magdalena, you can see that sequentially, it is stabilizing. It was CHF264 million in the third quarter of '21 compared CHF269 million in the second quarter. I think I'd just make a couple of points. I think absent any other changes, I would actually expect net interest income to stabilize sequentially in the fourth quarter. But I would just caution, I think you're aware that we have launched a goodwill program with respect to the supply chain finance fund matters, and that may adversely impact the net interest income, although I don't think the impact would be particularly material in the fourth quarter. But I would expect to stabilize, subject to that particular caveat, would be my guidance on that. Clearly, as we move forward to the GSR movers and the expansion of lending implied then that, obviously, we'd start to expect it to increase, but that probably goes forward then into '22.

Thomas Gottstein -- Chief Executive Officer

And with respect to the investment banking pipeline, I think we have a decent pipeline for the fourth quarter, both across M&A and capital markets. We are fully focused on also the hiring side of the equation. And even though we are not talking now about strategy, but as you will have seen, we will move to a global investment bank organization, which will include also our Asian and Swiss IBCM teams who have very strong capital markets and M&A positions in their respective markets. Just as an example, today, we are a lead advisor in Switzerland of this relatively large healthcare situation. So I think we have a very decent pipeline, but it's very clear we are focused on this business. It's a capital-light business. It's a business where we have traditionally had very strong positions, and we are focused on hiring. Thank you.

Magdalena Stoklosa -- Morgan Stanley -- Analyst

Thank you.

David Mathers -- Chief Financial Officer

Thank you.

Your next question comes from the line of Jeremy Sigee from Exane. Please go ahead, your line is open.

Jeremy Sigee -- Exane -- Analyst

Good morning. Thank you very much. Just one question, really, on net new money flows, which I thought were very welcome positive in the quarter and a lot very broad based across three regional units. But I just wondered if you could talk a little bit more about the dynamics behind the return of inflows, whether it's clients that had moved money out, moving it back in again or whether it's the impact of some of the new advisors that you've talked about. Just be interested to hear you talk about some of the dynamics there, please.

Thomas Gottstein -- Chief Executive Officer

I would say, generally, it has been broad-based across regions but also within the regions across

Jeremy Sigee -- Exane -- Analyst

And is there a material impact from the new hires that you mentioned? Or is it too early to see those?

David Mathers -- Chief Financial Officer

Jeremy, I'm really sorry, but you've actually got a bad line. Could you just try that again? Sorry.

Thomas Gottstein -- Chief Executive Officer

And if you can speak a bit slower, then we might understand your questions. Sorry.

David Mathers -- Chief Financial Officer

Sorry, Jeremy.

Jeremy Sigee -- Exane -- Analyst

No problem. Simply asking whether the new hires had an impact on net new money.

David Mathers -- Chief Financial Officer

Was that net hires' impact on net new money, I think, actually, Jeremy?

Jeremy Sigee -- Exane -- Analyst

Yes. Yes.

David Mathers -- Chief Financial Officer

Go ahead, Tom.

Thomas Gottstein -- Chief Executive Officer

Well, I would say, generally, when we have net new hires, they always take six months to 12 months.

David Mathers -- Chief Financial Officer

I'd just add, I think, I mean, I do think the net new asset numbers we saw in APAC were very good.

Jeremy Sigee -- Exane -- Analyst

Very helpful, thank you.

David Mathers -- Chief Financial Officer

Thank you.

Your next question comes from the line of Kian Abouhossein from JPMorgan. Please go ahead, your line is open.

Kian Abouhossein -- JPMorgan -- Analyst

Yes, thanks for taking my questions. Yes. The first question is regarding Investment Banking. Just to understand, considering that it looks like you're making a loss in the Investment Bank, I just wanted to see if you could remind me of how the deferral and accrual of bonus retention works in case you make a loss in the Investment Bank, i.e., are there clawbacks that come into

fourth? And then the second question is just coming back to the rebate discussion. Can you just confirm that you have, on the risk-weighted asset rebate discussion on the parent bank, a permanent structure that this rebate is in place? Or are there any clauses that would lead to some kind of unwinding of the rebate? And in respect to the upstream numbers that you gave, which were very helpful, David, in terms of capital from the U.S., what is the determining factor besides CCAR and qualitative test? Is there anything else that determines the U.S. allowing you to upstream? I think you mentioned CHF two billion.

Thomas Gottstein -- Chief Executive Officer

Okay. I will take the first one, and then David, you can take the second one. So Kian, in terms

David Mathers -- Chief Financial Officer

And I think the only point I'd add to that is just with regard to the goodwill write-down, which

So that's what -- how it actually works. As to its status, it's a permanent part of the 2017 dec

Thank you.

David Mathers -- Chief Financial Officer

Thank you.

Your next question comes from the line of Stefan Stalman from Autonomous Research. Please go ahead, your line is open.

Stefan Stalman -- Autonomous Research -- Analyst

Yes, good morning. Thank you very much for taking my questions. Yes. I wanted to quickly follow up on the decommissioning of Credit Suisse Europe, the plans to decommission the entity. Is that plan at all affected by the fact that the entity did plead guilty in regard to this Mozambique affair and regarding the fact that there's still a Group DTA associated with this whole complex? Or do you think this will go ahead without any impact from this? And the second question, I wanted to clarify what you said about dividend. The press release says 25% of net income in 2022. Is that the distribution that you're planning to make in 2022 for '21? Or is it looking one year further out?

David Mathers -- Chief Financial Officer

Thank you, Stefan. Thank you very much. And I mean I just would echo what I said before. I said there have been two good research notes written on the parent, and yours was certainly excellent, Stefan. But just in terms of the decommissioning of CSSEL, so we have been working in London now for six years on the decommissioning of CSSEL because prior to that point, essentially, you had two entities in London, and CSSEL was actually the employer of the bulk of people, and CSI was the, as you might say, the operating entity. And I'm sure you understand from a resolution recovery point of view, that's basically a nonstarter. In addition to the complexity and intercompany capital regimes and fragmentation that results for having two such large entities. So it has been a huge project because we actually had to move everybody out of one entity and into the other, including the pension fund, and actually build an entire securities infrastructure within CSI at the same time as doing Brexit. But I'm very pleased to say that we actually dropped below the key thresholds in terms of the percentage of balance sheet, percentage of RWA and importance of the operating systems. Actually, back in the first quarter of this year, we've continued to actually reduce the positions further because this is the key switch every year, and we no longer accept any new business in CSSEL from October.

So it's definitely decommissioned as a material legal entity. With regard to the Mozambique mat

Stefan Stalman -- Autonomous Research -- Analyst

Great, that's very clear. Thanks a lot of it.

David Mathers -- Chief Financial Officer

Thank you.

There are no more questions at this time. I will hand back for closing remarks.

Thomas Gottstein -- Chief Executive Officer

Well, thank you very much for joining this call, and I'm sure we will speak to you again later t

David Mathers -- Chief Financial Officer

Bye.